

25SMCP00513 25SMCP00513

County: los-angeles

Division: Civil Law and Motion

Department: 207

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Case Number: 25SMCP00513 Hearing Date: September 16, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT 207

HEARING

DATE June 30, 2026 -- continued to

Sept. 16, 2026

CASE

NUMBER 25SMCP00513

MOTION Amend Judgment

MOVING

PARTY Petitioner Ami Shah

OPPOSING

PARTY Respondent Debora A. Gregory

MOTION

This case arises from a petition to confirm an arbitration award.

On September 30, 2025, Petitioner Ami Shah as assignee of Assure Home Therapy's claims ("Petitioner") filed the case-initiating Petition to Confirm Arbitration Award against Respondent Debra Gregory (Caring Like Family Inc. DBA: Like Family Home Health).

On April 8, 2026, the Court granted the petition in part as to Caring Like Family Inc. ("Caring"), but denied the petition as to Caring's principal, Debora Gregory ("Gregory") on the grounds that Gregory was not a respondent in the underlying arbitration and the arbitration award was only against Caring. Thereafter, the Court entered the Judgment on April 8, 2026 in conformity with its ruling.

Petitioner now moves to amend the judgment pursuant to Code of Civil Procedure section 187 on the ground that Gregory is an alter ego of Caring. Gregory opposes the motion. Petitioner filed an untimely reply, which the Court did not initially consider, but now does, in light of the continued hearing.

Petitioner argued at the initial hearing that Chase bank produced documents pursuant to a subpoena the night before, which are necessary to bolster Petitioner's motion. The Court continued the hearing to allow Petitioner to submit supplemental briefing. Petitioner filed a supplemental brief, Respondent filed a supplemental opposition, and Petitioner filed a supplemental reply. Petitioner also submitted a supplemental reply declaration, to which Respondent objected.

Regarding Petitioner's Supplemental Reply Declaration and exhibits, the Court does not generally consider reply evidence, as it deprives the opposing party of a fair opportunity to respond, in violation of their due process rights. (*San Diego Watercrafts, Inc. v. Wells Fargo Bank, N.A.* (2002) 102 Cal.App.4th 308, 316 ["due process requires a party be fully advised of the issues to be addressed and be given adequate notice of what facts it must rebut in order to prevail"]; see also *Wall Street Network Ltd. v. New York Times Co.* (2008) 164 Cal.App.4th 1171.) Therefore, the Court does not consider Petitioner's Supplemental Reply Declaration or the exhibits attached thereto.

EVIDENTIARY OBJECTIONS

The Court rules as follows with respect to Gregory's initial evidentiary objections:

1.

Sustained

2.

Sustained

3.

Overruled as to “The fact that the entity was already
suspended when the contract was signed on 8/19/2024”; Sustained otherwise.

4.

Overruled as to “Debora Gregory executed the contract
on 8/19/24 with Petitioner after the corporation had already been suspended by
the Franchise Tax Board.” Sustained
otherwise. Overruled otherwise.

5.

Overruled

6.

Overruled – the foundation for this statement is laid
in the attached exhibits, to which Gregory has not objected.

7.

Sustained

8.

Sustained

9.

Sustained

10. Overruled

11. Overruled

12. Sustained

13. Sustained

14. Sustained

15. Sustained

16. Sustained

The Court rules as follows with respect to Gregory's evidentiary objections to the supplemental Shah declaration:

1.
Overruled

2.
Overruled

3.
Overruled

4.
Overruled

5.
Overruled

6.
Overruled

As discussed above, because the Court does not consider Petitioner's Supplemental Reply Declaration or the Exhibits attached thereto, the Court does not rule on Gregory's objections to it as moot.

ANALYSIS

Code of Civil Procedure section 187 provides: "When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code."

"Code of Civil Procedure section 187 authorizes a trial court to amend a judgment to add a judgment debtor who is found to be an alter ego of a

corporate defendant.” (Misik v.

D’Arco (2011) 197 Cal.App.4th 1065, 1069.)

“[A] plaintiff’s failure to allege the alter ego doctrine in the

underlying lawsuit does not preclude a motion to amend the judgment.” (Ibid.)

To establish alter ego liability, Plaintiff must show (1) such a unity of interest and ownership between the corporations that no separation actually exists, and (2) an inequitable result if the acts in question are treated as those of the corporation alone. (Leek

v. Cooper (2011) 194 Cal.App.4th 399, 417.)

Several factors are considered in determining whether the alter ego doctrine applies, including:

(1)

commingling of funds and other assets, failure to segregate funds of the separate entities, and the unauthorized diversion of corporate funds or assets to other than corporate uses;

(2)

the treatment by an individual of the assets of the corporation as his own;

(3)

the failure to obtain authority to issue stock or to subscribe to or issue the same;

(4)

the holding out by an individual that he is personally liable for the debts of the corporation;

(5)

the failure to maintain minutes or adequate corporate records;

(6)

sole ownership of all of the stock in a corporation by one individual or the members of a family;

(7)

the failure to adequately capitalize a corporation;

(8)

the total absence of corporate assets, and
undercapitalization;

(9)

the use of a corporation as a mere shell,
instrumentality or conduit for a single venture or the business of an
individual or another corporation;

(10)

the concealment and misrepresentation of the identity
of the responsible ownership, management and financial interest, or concealment
of personal business activities;

(11)

the disregard of legal formalities and the failure to
maintain arm's length relationships among related entities;

(12)

the use of the corporate entity to procure labor,
services or merchandise for another person or entity;

(13)

the diversion of assets from a corporation by or to a
stockholder or other person or entity, to the detriment of creditors, or the
manipulation of assets and liabilities between entities so as to concentrate
the assets in one and the liabilities in another;

(14)

the contracting with another with intent to avoid
performance by use of a corporate entity as a shield against personal
liability, or the use of a corporation as a subterfuge of illegal transactions;
and

(15)

the formation and use of a corporation to transfer to
it the existing liability of another person or entity.

(Id.

at pp. 417–418.)

In support of the motion,

Petitioner advances the Declaration of Ami Shah, which as demonstrated by the Court's evidentiary rulings above, primarily contains inadmissible legal arguments and statements which lack foundation.

The gist of Petitioner's argument for which Petitioner has laid an adequate foundation is that Gregory is the sole shareholder, officer, and agent for service of process for Caring, which Gregory runs out of her personal residence, and Caring was suspended by the Franchise Tax Board as of April 2, 2024. Thus, on August 19, 2024 when Petitioner and Caring entered into the underlying agreement at the heart of their arbitration dispute, and Caring became indebted to Petitioner for approximately \$50,000, Caring was already suspended and disqualified from operating as a legal entity. As such, Petitioner argues, Caring was effectively a sole proprietorship at the time the agreement was made.

But, at best, Petitioner has demonstrated (1) sole ownership and (2) failure to adequately capitalize the corporation.

The Court does not find the fact that Gregory ran the business out of her personal residence alone sufficient to demonstrate improper comingling, the treatment by Gregory of Caring as though its assets were her own personal assets, lack of corporate formalities, or that Gregory used Caring to procure goods or services for another person or entity. To wit, in opposition, Gregory provides a declaration clarifying that she maintains her own separate bank account, segregated from the bank account for Caring, she has not used Caring's funds for her own purposes, and the parties' agreement was for Petitioner to provide physical and occupational therapy services to Caring's patients. (Gregory Decl. ¶¶ 4, 11.) There is no evidence that Petitioner performed services for Gregory personally.

Further, the fact that Petitioner personally viewed the company's records in Gregory's home demonstrates that such records were being kept. (See also Gregory Decl. ¶ 9 [Caring "has followed corporate formalities"].) And the fact that Gregory's name is all over the officially filed corporate records demonstrates Gregory did not conceal or misrepresent her identity as the company's owner.

Further, Petitioner's attempt to use alter ego to bring Gregory into the litigation in her personal capacity further demonstrates that Gregory did not personally guaranty the debts of the corporation. (See also Gregory Decl. ¶ 4 ["I did not personally guarantee the obligations of CLFI under the Agreement"].)

Although Petitioner characterizes Caring as a mere shell or instrumentality, that Caring was created as a shield to avoid performance and liability, or that Caring was created to transfer Gregory's liability, Petitioner has not presented any evidence supporting these arguments. The mere fact that Caring was solely owned by Gregory and ultimately became unprofitable to the point where it could not satisfy its debts does not, without more, demonstrate that Caring and Gregory are alter egos of each other.

In supplemental briefing, however, Petitioner has provided bank records demonstrating 139 transfers between Gregory's personal bank account and the corporate bank accounts, including six transfers to the entity bank accounts which Petitioner contends (and Gregory confirms in paragraph 13 of her supplemental opposition declaration) are Medicare reimbursements, which were followed by transfers of nearly all of that money into Gregory's personal bank account in the fourth quarter of 2025.

Gregory has characterized those transactions as providing capital for the companies and then subsequently taking capital draws:

7. At all times, I have maintained my own bank account separate from the bank account maintained by CLFI. At all relevant times, my funds have been segregated from the bank account of CLFI. I have not treated the assets of CLFI as my own or used CLFI's funds for my own personal purposes.

9. One of the principal assertions of Shah in her Supplemental Memorandum concerns \$69,757.12 net, allegedly transferred from CLFI to me. Shah contends that between February 7, 2025 and January 2, 2026, CLFI transferred \$209,349.83 to me, and I transferred \$139,592.71 back to CLFI through 89 separate transactions. The \$69,757.12 being highlighted is therefore the mathematical net of substantial two-way financial activity between the accounts, rather than \$69,757.12 simply being transferred from the corporation to me.

10. There is also broader financial history

surrounding these isolated transactions that cannot necessarily be determined from the bank statements alone or Shah's own analysis. During this period, I was capitalizing CLFI, including, among other things, providing personal funding and using personal credit to assist CLFI and related hospice companies in meeting their financial obligations because of the limited direct lending opportunities available to the businesses. Transfers between myself and the businesses occurred in the context of this ongoing funding activity. As with any small company, I took draws to the extent available for my services on behalf of CLFI.

12. This is also relevant to the credit card

payments identified by Shah. As with many small companies, I was forced to use personal credit as a source of funding for the business and to meet business expense obligations to keep CLFI operating, including, among other things, obtaining medical supplies and paying subscriptions, such as business telephone services. Accordingly, the fact that an account or credit card bears my individual name does not, by itself, establish whether the underlying expenditure was personal or business related. That determination would require consideration of each of the underlying transactions and supporting records.

13. Shah's supplemental filing also focuses on

six (6) Medicare reimbursements received by CLFI between September 29 and December 18, 2025, totaling only \$24,168.56. The timing of a Medicare deposit followed by a transfer does not, standing alone, establish the purpose or character of that transfer. Further, viewed over the period being analyzed, that amount of Medicare reimbursement is not, by itself sufficient to sustain the operating requirements of a business such as CLFI, including paying payroll, vendors, contractors and other ongoing business operating obligations.

14. There is also an important distinction

regarding Caring Like Family Hospice, which was not a party to an agreement with Claimant or a party to the Arbitration. Hospice is, and at all times herein mentioned was, a separate business with its own bank accounts. Shah identifies \$16,685 transferred from Hospice to CLFI and \$5,750 transferred from CLFI to Hospice, resulting in a net \$10,935 flowing into CLFI. The Hospice transactions are separate from the transactions between CLFI and me.

15. Shah also contends that a McLaren vehicle,

which I drove, was somehow improperly leased through the company. Such vehicle

was used for business purposes, including, among other things, visiting patients and for marketing purposes.

(Supp
Gregory Decl. ¶¶ 7, 9-10, 12-15.)

The Court does not find Gregory credible. To start, Gregory does not adequately explain why Caring continued to enter into contracts, like the one with Petitioner, after Caring was suspended by the Francise Tax Board in April 2024, other than to indicate that the suspension was an “oversight.” (See Original Gregory Decl. ¶ 10.)

Further, the fact that there were limited lending opportunities available to the businesses, causing Gregory to start capitalizing the business with her own personal funds demonstrates that the lines began to blur between Gregory in her individual capacity and the entities, with Gregory making personal loans to the entities.

Yet, Gregory apparently did not bear the risk of those loans, as she continued to take draws, including of Medicare reimbursements, in the fourth quarter of 2025, when the business was clearly failing. Those draws suggest Gregory was improperly draining the business of capital for her own personal benefit, at the expense of the company’s creditors, like Petitioner.

Even further, Gregory has not adequately explained why a luxury sports car is necessary or appropriate to visit patients or to market her home health aid or hospice companies. While the Court acknowledges that Gregory’s hospice company is not a party to this action, the comingling of her personal funds with the hospice company demonstrates a pattern and practice of blurring the lines between her entities and personal finances.

Thus, Petitioner has adequately demonstrated that Gregory comingled both the debts and profits of Caring with her own personal finances, used the company to finance a luxury sports vehicle for herself, and took “draws” to deplete the company of assets as it was failing, and Gregory has not adequately demonstrated that any of the above was reasonable under the circumstances.

CONCLUSION

Finding Gregory is an alter ego of

Caring, the Court grants Petitioner's motion to amend the judgment to add Gregory in her personal capacity as an alter ego for Caring.

Further, the Court orders Petition to lodge a proposed Order and proposed Amended Judgment in conformity with the ruling on or before September 28, 2026. Any objections to the proposed Order or Judgment shall be filed and served on or before October 8, 2026.

Petitioner shall provide notice of the Court's ruling/Order, and file the notice with a proof of service forthwith.

DATED:

September 16, 2026 _____/s/ _____

Michael E. Whitaker

Judge
of the Superior Court